15.7 Advantages and Disadvantages of E-Commerce

The pros and cons of E-Commerce affect three major stakeholders: consumers business organisations, and society.

The following are the advantages and disadvantages of E-Commerce for a consumer.

Advantages

- E-Commerce system is operated on all days and all the day 24 x 7. Neither consumer nor suppliers need physical store to be opened to do business electronically. People can interact with businesses at the time of their convenience.
- Speed is a major advantage in E-Commerce. Advanced Electronic communications systems allow messages to reach across the world instantaneously. There is no need to wait days for a catalogue to arrive by post. Communication delay is not a part of the Internet or E-Commerce world.
- The Internet is too easy to 'shop around' for products and services that may be more cheaper and effective than left to buy only in a Brick and Mortar shop. It provides an opportunity to buy at reduced costs. It is possible to, explore the Internet, identify original manufacturers, thereby bypass wholesalers and achieve a cheaper price.
- The whole world becomes a shop for today's customers. They can have wide choice by comparing and evaluating the same product at different websites before making a purchase decision.
- Customers can shop from home or anywhere at their convenience. They don't need a long wait to talk to a salesman. They can read the details regarding model numbers, prices, features etc. of the product from the website and buy at their own convenience. Payments can also be made through online.

Disadvantages

- E-Commerce is often used to buy goods that are not available locally but from businesses all over the world. Physical goods need to be transported, which takes time and costs money. In traditional commerce, when we walk out of a shop with an item, it's ours, we have it. We know what it is, where it is and how it looks. But in E-Commerce we should wait to get the product in hand. Some E-Commerce companies handle this by engaging their customer updating status of their shipments.
- Unlike returning goods to a traditional shop returning goods through online is believed to be an area of difficulty. The doubts about the period of returning will the returned goods reach source in time, refunds, exchange and postage make one tiresome.
- Privacy issues are serious in E-Commerce. In E-Commerce generating consumer information is inevitable. Not all the companies use the personal information they obtained to improve services to consumers. Many companies misuse the information and

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